Tools 4.4: Bargaining, Commitment, and Political Conflict — Why Do Actors Fail to Agree? (AD)

Political Science — Master Notes · by Jakob V. Stangel

Required reading: Bueno de Mesquita, *Political Economy for Public Policy*, **ch. 6** · *Optional:* **James Fearon**, "Rationalist explanations for war," *International Organization* 49(3) 1995, pp. 379–414 · **Pifer**, *The Trilateral Process* (Brookings) — selected pages. *(Lecturer: Anna Denisenko — deck "4.4 Bargaining, Commitment, and Political Conflict.")*

Theme of the lecture. Lecture 4.3 was about groups that **agree on the goal** but struggle to contribute. This one is about actors who **want different things** and must **split the gains** — and sometimes end up in **costly conflict** instead. Pareto says many splits beat "no deal," but **cannot pick which**; **bargaining** decides. We build the tools — **sequential games & game trees**, **backward induction**, **outside options**, and the **spatial model** of ideal points and veto players — and then confront the deep puzzle (**Fearon 1995**): if conflict **destroys value**, why don't rational actors just agree on the deal in advance? The answer: **asymmetric information** and **commitment problems.**

> ★ **The heart of the lecture — bargaining splits the surplus; conflict destroys it.**
> • **Sequential games (game trees):** players move *in turn*; solve by **backward induction** — "think ahead, reason back." A smart proposer asks "how will the other side react?" before offering.
> • **Outside options decide the split (Lesson 1):** your deal depends on what you (and your opponent) get from **no deal.** A strong outside option = a bigger share. **Where there's a scale, the status quo = the outside option.**
> • **The spatial model:** players have **ideal points**; a **veto player** accepts only policies at least as close to its ideal as the status quo (its **acceptance set**); the **agenda setter** proposes the point in that set closest to *its* ideal. **Where the status quo sits decides the outcome (Lesson 2).**
> • **Costly conflict is a puzzle (Fearon):** war/strikes are *not* Pareto efficient — a deal in the **bargaining range** would beat them. Rational actors still fail to agree because of **asymmetric information** (private info + incentive to bluff) and **commitment problems** (can't credibly promise to keep the deal).

Red thread: *(1) What does each side get from "no deal" (outside option / status quo)? (2) Who proposes, who vetoes, and where is the status quo? (3) If a deal beats conflict for both, why might they fight anyway?*

Key concepts to apply: *bargaining · the bargaining range · Pareto can't pick the split · sequential game · game tree · outside option · **backward induction** · ultimatum game · fairness norms · the **spatial model**: ideal point · status quo · veto player · acceptance set · agenda setter · bundling / issue linkage · costly conflict & Pareto inefficiency · **Fearon's three explanations**: asymmetric information (+ incentive to misrepresent) · commitment problems · issue indivisibility · costly signals · tying hands · third-party enforcement · reputation (shadow of the future).*

From collective action to bargaining

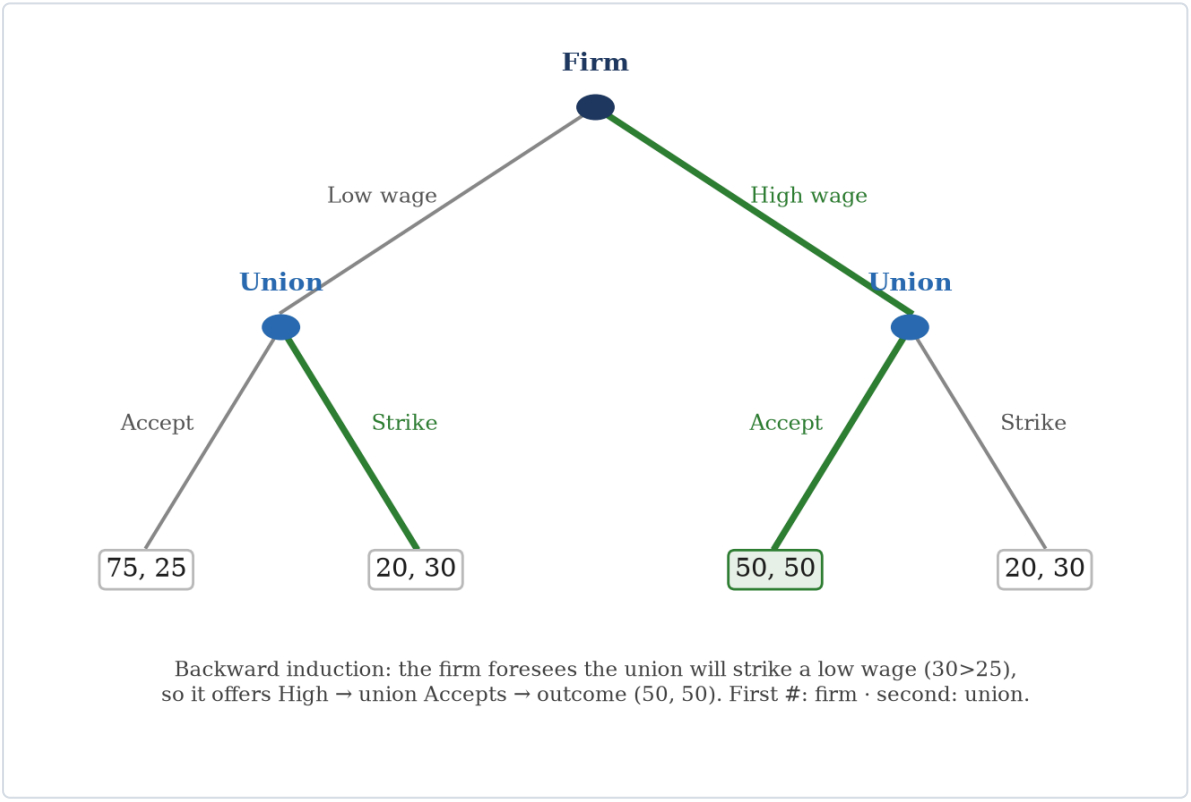
Core: last lecture the group agreed on the goal; here a deal would help everyone, but the parties **disagree about how to split it.**

- Paris: everyone wants lower emissions — but **whose**? Unions & firms both gain from production — but **who gets how much**?
- Recall Lecture 4.1: **many** outcomes are Pareto efficient; **Pareto doesn't say which split is best. Bargaining decides which one actually happens.**
- Bargaining is everywhere: coalition partners, government–parliament budgets, unions–employers (the Danish model), firms–regulators, mergers, EU member states, countries (trade, territory, arms control). It works best when **a deal beats "no deal" for everyone** and there are **few parties.**

★ Sequential games & game trees

Core: a new tool. In Lecture 4.2 players moved **simultaneously** (a payoff matrix). In bargaining they move **in turn** — one makes an **offer**, the other **sees it and responds.** We draw this as a **game tree.**

> **Sequential game:** players move one after another, and later players **know what earlier players did** (think chess, or a job offer).



Backward induction: the firm foresees the union will strike a low wage (30>25), so it offers High → union Accepts → outcome (50, 50). First #: firm · second: union.

How to read it. Read **top to bottom.** A **dot** = a decision (the label says who decides); **arrows** = the available choices; the **bottom** = payoffs (first number: firm, second: union). A player's **outside option** is what they get if there's **no deal** (here, a strike gives firm 20, union 30).

★ Backward induction

Core: solve a sequential game **from the end** — "**think ahead, reason back.**"

The recipe: (1) go to the **last** decisions; (2) at each, mark the choice that gives **that** player more; (3) the earlier player now **knows** what follows each of its choices; (4) step back and repeat to the top.

- **The wage game:** if wage is **low**, the union **strikes** (30 > 25); if **high**, it **accepts** (50 > 30). So the firm faces: *low → strike → 20*, or *high → accept → 50*. It chooses **high. Outcome: (50, 50)** — the firm would *love* 75, but it foresees the strike and doesn't demand it.
- **From two offers to any offer (the ultimatum game):** let the firm demand **any** x out of 100; the union gets **100 − x**, and accepts only if that beats its outside option (30). So the union accepts while **x ≤ 70.** The firm demands the most it can get away with → **x = 70**, union gets **30.** → **Outcome (70, 30).** *The split is set by the outside options.*

★ Outside options (Lesson 1)

Core: your share is decided by what each side gets from **no deal.**

> **It is good to have a strong outside option — and good if your opponent has a weak one.**

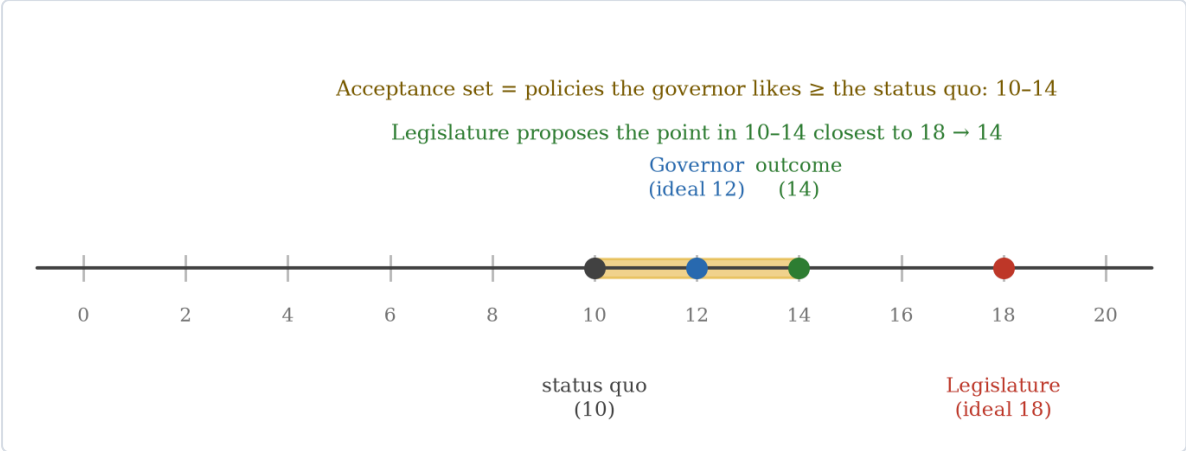
- Raise the **union's** outside option from 30 → 50 and the split shifts from (70, 30) to **(50, 50)**; raise the **firm's** and it shifts the other way. *(Try it: with union option 50, the firm can demand at most x = 50.)*
- **Boeing vs its workers:** in **2014** Boeing had **strong** outside options (states bidding to host its plant; could move to a weak-union state) → workers **lost their pensions.** In **2024** its options were **weak** (few subsidies; safety scandals made moving risky) → after a **53-day strike** the union won a **38% raise** (though not the old pensions). *Same union, opposite outcomes — because the outside options flipped.*

★ The spatial model: ideal points & veto players

Core: often actors don't split a pie — they choose **a point on a scale** (a tax rate, a minimum wage, office days). Now each player has an **ideal point**, and "no deal" means the **status quo** stays.

> **Status quo** = the policy/rule/contract that stays if no new deal is reached. **The status quo *is* the outside option.**

- **Ideal point:** the policy a player likes best; the **closer** a policy is, the better.
- **Minimum-wage example:** the **legislature proposes** a wage *p*; the **governor** signs or **vetoes** (a **veto player**). Ideal points: **governor 12, legislature 18, status quo 10.**



How to read it. The governor signs any bill **at least as close to her ideal (12) as the status quo (10)** — i.e. anything in **10–14** (her **acceptance set**). The legislature wants 18, so it proposes the point in **10–14 closest to 18 → 14.** *(The governor wanted 12 yet signs 14 — because 14 beats the status quo 10 for her.)*

The status quo matters (Lesson 2)

Core: the **agenda setter** (proposer) gets the policy closest to **its** ideal **inside the veto player's acceptance set** — and that set **depends on the status quo.**

- A status quo the **veto player dislikes → big** acceptance set → the agenda setter gets **more.**
- A status quo the veto player **likes → small** acceptance set → the agenda setter gets **little.** *(If the status quo were 16, the governor blocks every move right, and the legislature can't improve on 16.)*
- → **Whoever sets the status quo before bargaining starts shapes the outcome** — in politics and business alike.

Tactics to improve your position

Core: two levers — your **outside option** and the **status quo.**

- **Improve your outside option:** find other partners (the EU and UK both signed new trade deals *during* Brexit talks); **diversify** (energy sources before negotiating with a supplier); make yourself **hard to replace** (rare skills).
- **Shape the status quo / set the agenda: move first** ("facts on the ground"); write **sunset clauses** into deals you'll want to revisit; **write the first draft** of the contract or standard; **become the agenda setter.**

Fairness & the ultimatum game

Core: real people don't behave like the pure model — **fairness norms change payoffs.**

- **The ultimatum game:** I'm given 1000 kr and offer you **1 kr**; reject and we both get **0.** The model says **accept** ($1 > 0$). But in experiments, proposers offer **40–50%**, and people **reject** offers below **~20–30%.**

- Recall Lecture 4.3: **fairness norms** are real entries in the payoff — rejecting an "insulting" offer is **rational if you care about fairness. → A smart proposer takes normative frameworks into account.**

Bundling (Lesson 3)

Core: combining several issues into one deal can create agreements that **don't exist issue-by-issue.**

Danish budget deals (*finanslov*) and coalition agreements combine tax, defence, welfare, climate, local projects. **Why?** If parties **weight issues differently**, trading creates value:

	Status quo	Policy A	Policy B	A + B
Party 1	0	−1	**10**	**9**
Party 2	0	**10**	−1	**9**

Each policy **alone** is vetoed (outside the other's acceptance set); the **bundle** beats the status quo for **both** — a Pareto improvement. **→ Give way on what you care about less, win on what you care about more.** More issues on the table → more possible trades → a better chance of a deal.

★ The puzzle of costly conflict (Fearon 1995)

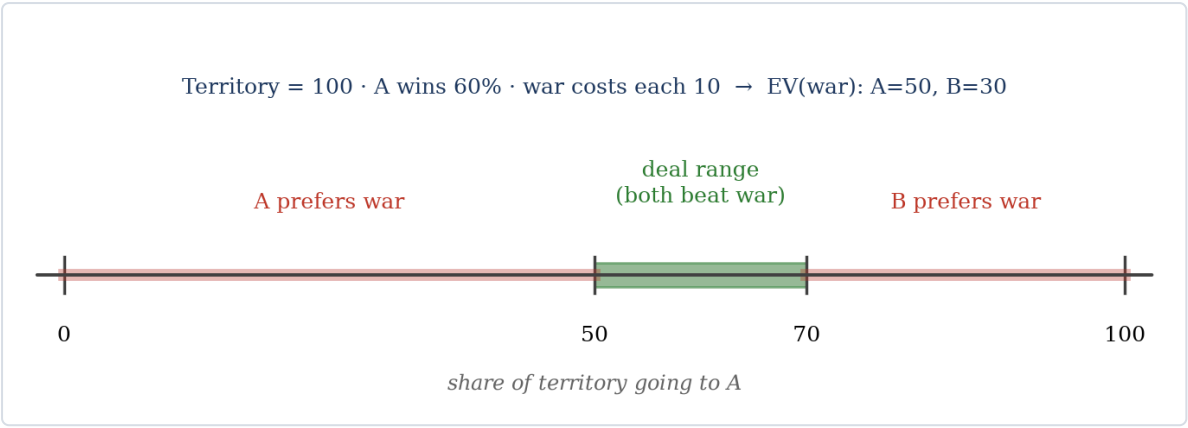
Core: in our models a deal is **always** reached at once — no strike, no war. Yet strikes, government crises and wars **happen.** They're **costly** (they destroy part of what's fought over), so the post-conflict outcome is **not Pareto efficient** — **some deal would have been better for both.** *So why don't rational actors just agree on that deal in advance?*

Costs of conflict create a bargaining range. Two countries dispute territory worth **100**; if they fight, **A wins with probability 60%** (winner takes all) and **war costs each 10.**

EXPECTED VALUE OF WAR

$$\text{A: } 0.6 \times 100 - 10 = \mathbf{50} \cdot \text{B: } 0.4 \times 100 - 10 = \mathbf{30}$$

Reads: A's war payoff is **50**, B's is **30** — so B will accept any split giving it **≥ 30** (i.e. A gets **≤ 70**), and A will accept any giving it **≥ 50.**



How to read it. The **war costs** open a **bargaining range (50–70)**: every split in it makes **both** better off than fighting. *The puzzle is why actors ever fail to find a point in this range.*

★ Why talks fail: information & commitment

Core: Fearon's answer — rational actors still fail to agree for **three** reasons (we focus on the first two; the third is rarer than it looks).

1. Asymmetric information (+ an incentive to bluff). Each side knows its **own** strength, costs and outside options better than the other — and has a reason to **exaggerate** them. *(The union knows how long its members will really strike; a government knows how strong its army really is.)* So it can't just **tell** the truth credibly.

- **Example:** profit 100; the union is **strong** (option 50) or **weak** (30), and the firm doesn't know which. **Generous** (demand 50): both types accept → firm gets 50. **Tough** (demand 70): weak accepts (70), strong strikes (20). Which is better depends on the **probability** the union is weak.
- **How information gets revealed — costly signals** (words are cheap): strike votes, strike funds, military mobilisation, **walking away from the table.** And **conflict itself reveals information**: as a strike drags on, each side learns the other's true strength. *(Boeing workers rejected 25% and 35% before accepting 38% — each vote told Boeing more about their resolve.)*

2. Commitment problems. A deal would make everyone better off, but **one side can't credibly promise to keep it**, because **later it will have an incentive to break it.** The problem is **not information** (both understand the situation) — it's **timing**: incentives change *after* the other side has acted.

- **Spain's renewables:** generous guaranteed payments drew a solar/wind boom; after the 2008 crisis Spain **cut support retroactively** → dozens of international arbitration claims. *Lesson:* investors now demand **higher returns or stronger legal guarantees** before building. *(Independent central banks & regulators exist partly so politicians **can't** change policy whenever it suits them.)*

3. Indivisible issues. The thing at stake can't be split (e.g. a holy site). *Rarer than it looks* — **side payments and bundling** can often make an issue "divisible."

The Ukraine 1994 case — a commitment problem

Core: the showcase of a commitment problem across time.

- When the USSR collapsed, **Ukraine** held the **world's third-largest nuclear arsenal.** In the **Trilateral Statement (Jan 1994)** and the **Budapest Memorandum (Dec 1994)**, Ukraine **gave the weapons up** in return for compensation and **security assurances** (from the US, UK and Russia) to respect its borders.
- In **2014, Russia annexed Crimea** — breaking the promise once Ukraine had already **disarmed.** The guarantor had no binding commitment; incentives changed after Ukraine acted.
- **What could have made the promises more credible?** → the general solutions to commitment problems:

Solution	How it binds
Tie your hands	constitutions, courts, **independent** central banks/regulators
Third-party enforcement	international courts/arbitration, peacekeepers, the EU
Reputation	in repeated interaction, breaking a promise is costly (shadow of the future)
Share power	coalition governments, federalism, guaranteed seats
Stage the deal	small steps, each checked before the next

Bargaining & the normative frameworks (Lecture 4.1): **Pareto** — every deal in the range beats conflict, but it **can't pick** among them; **egalitarian** — the split reflects **power** (outside options, who proposes, where the status quo sits), not fairness; **liberal** — a freely-accepted deal looks legitimate, but is it "free" if one side has **no outside option**? → *Policy can change bargaining power on purpose:* minimum wages, unemployment insurance and the **right to strike** all raise workers' outside options.

Key terms

Term	Meaning
Bargaining	dividing the gains from a deal that beats "no deal" for all
Sequential game / game tree	players move in turn; later players see earlier moves
Backward induction	solve from the end: anticipate the last move, reason back
Outside option	what a player gets if there is **no deal**
Ultimatum game	one side demands x of a pie; the other accepts or gets its outside option
Ideal point	the policy a player likes best (closer = better)
Status quo	the policy that stays if no new deal is reached (= the outside option)
Veto player	an actor whose consent is needed; accepts only its **acceptance set**
Acceptance set	policies a veto player likes at least as much as the status quo
Agenda setter	the proposer; gets the point in the acceptance set closest to its ideal
Bundling / issue linkage	combining issues so trades across priorities create a deal
Bargaining range	splits that beat conflict for **both** (opened by conflict's costs)
Asymmetric information	each side knows things the other doesn't (+ incentive to bluff)
Commitment problem	a side can't credibly promise to keep the deal later
Costly signal	an action too expensive to fake, so it reveals real information

Exam pointers

- **Solve a game tree by backward induction** — mark each last-mover's best choice, reason back to the first move.
- **Explain outside options** (Lesson 1) and use Boeing 2014 vs 2024.
- **Run the spatial model:** ideal points, a veto player's **acceptance set**, and why the **agenda setter** + **status quo** location decide the outcome (Lesson 2).
- **Show why bundling** turns two vetoes into one "yes."
- **State the bargaining range** and compute it from war's costs/odds.
- **Give Fearon's three reasons** talks fail — and distinguish **information** (bluffing) from **commitment** (timing) problems; use **Ukraine 1994** for commitment.

★ Fun facts & memorable details (Tools 4.4: Bargaining)

> The sticky bits from the bargaining lecture.

- **The firm "would love 75" — but takes 50.** Backward induction in one line: a smart proposer never demands what will trigger a strike it can foresee.
- **Same union, opposite deals.** Boeing's workers lost their pensions in 2014 and won a 38% raise in 2024 — nothing about them changed; their **outside option** did.
- **The governor wanted 12 but signs 14.** Agenda-setting power: the legislature proposes the edge of her acceptance set, and 14 still beats the status quo for her.
- **Whoever sets the status quo wins.** Before a word is spoken, the position you're negotiating *from* often decides how much you'll get.
- **"Would you accept 1 kr?"** The model says yes ($1 > 0$); most people say no. Fairness is a real payoff — and a smart proposer offers near 50%.
- **War is a bargain both sides reject — and then regret.** Fighting burns value, so a deal in the bargaining range always existed. Fearon's puzzle: why rational actors still fail to find it (bluffing + broken promises).
- **Ukraine gave up the world's 3rd-largest arsenal for a promise.** 1994's assurances weren't a binding commitment; in 2014 Russia took Crimea anyway — the textbook commitment problem.